

Sea Limited

SE | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$149.00
Current price (October 2, 2026 close)	\$95.19
Implied upside / downside	+57%
Verdict	BUY

Investment Thesis

Sea Limited runs three businesses that each look mediocre in isolation and formidable in combination: Garena, the game publisher behind Free Fire; Shopee, the e-commerce marketplace leader across Southeast Asia, Taiwan, and Brazil; and SeaMoney, the digital financial services arm built on the transaction data of the other two. The market's enduring mistake with Sea is analyzing each segment against its worst comparable — Garena against aging game studios, Shopee against cash-burning marketplaces, SeaMoney against risky lenders — instead of pricing the flywheel. At \$95.19 the shares embed the assumption that the flywheel never compounds; our work suggests it already is.

Start with what changed: Sea is profitable now. The era of subsidized growth ended several years ago, and Shopee has demonstrated it can take share and make money at the same time, with logistics infrastructure — its own last-mile network across the region — as the moat that lets it do both. Take rates still sit well below global e-commerce peers, which means the monetization runway is measured in years, not quarters. Every point of take-rate expansion on Shopee's gross merchandise volume drops disproportionately to operating profit because the fulfillment network is already built.

Garena, written off repeatedly since the post-pandemic gaming normalization, keeps generating the cash that funds everything else. Free Fire remains one of the most-played mobile games on earth, with particular strength in the emerging markets where Sea operates — the same markets where smartphone penetration and disposable income are still rising. The market treats Garena as a wasting asset; we treat it as a durable cash engine with new-title optionality that comes free with the shares.

SeaMoney is the least understood and potentially the most valuable leg. Built on Shopee's transaction and logistics data, its lending products underwrite borrowers that traditional banks cannot see, and its payments products deepen the ecosystem lock-in. Fintech attached to commerce data has been the highest-return business model in emerging markets globally, and SeaMoney is still early in that journey. Our \$149.00 fair value prices Shopee as a maturing regional champion with take-rate headroom, Garena as a durable cash cow, and

SeaMoney as a fast-growing fintech — and charges a 150bp Southeast Asia country-risk premium for the privilege. The bear case at \$75, below today's price, is the world where competition breaks all three engines at once; we consider that the tail, not the center.

Business Overview

Sea Limited, headquartered in Singapore, operates across three segments. Garena is a global online games developer and publisher, best known for Free Fire, the battle-royale mobile game that has been among the most downloaded games worldwide for years, alongside a portfolio of licensed and self-developed titles. Shopee is the largest e-commerce platform in Southeast Asia and Taiwan by gross merchandise volume and orders, with a significant and growing presence in Brazil; it operates a hybrid marketplace model with first-party logistics capabilities in its core markets. SeaMoney (branded Monee in some markets) provides digital financial services including mobile wallet payments, consumer and SME lending, and digital banking services in several markets.

The strategic logic is the ecosystem: Garena's massive user base seeds Shopee's customer acquisition, Shopee's transaction volume generates the data and distribution for SeaMoney, and SeaMoney's payments and credit products increase conversion and retention on Shopee. This flywheel is Sea's central competitive advantage against single-vertical rivals — TikTok Shop in commerce, traditional banks in lending — because none of them sees the full customer the way Sea does.

Financially, the company has transitioned from growth-at-all-costs to profitable growth. Shopee reached adjusted EBITDA profitability while maintaining market leadership; Garena remains highly cash-generative with industry-leading margins; SeaMoney is the fastest-growing segment with expanding loan books. The balance sheet carries substantial cash, giving the company strategic flexibility across cycles.

Forward Outlook

Our judgment is that Shopee's next phase will be defined by monetization, not market-share warfare. The destructive subsidy battles of the past are over — every major regional player has learned that lesson — and Shopee's logistics moat means it can raise take rates gradually without losing sellers or buyers. We expect gross merchandise volume to keep growing at a healthy double-digit pace on the back of rising e-commerce penetration in Southeast Asia, while take rates grind upward toward levels that global peers sustain. That combination — volume growth plus monetization expansion on a fixed logistics base — is the classic e-commerce profit inflection, and we believe Sea is in its early stages.

For Garena, our view is deliberately unglamorous: Free Fire does not need to grow for the thesis to work; it needs to endure. Mobile gaming in emerging markets is supported by demographics — young populations, rising smartphone adoption, increasing spending power — and Free Fire's low device requirements make it the default game for exactly those users. New titles are genuine upside: Garena's publishing infrastructure means any hit scales quickly, but we underwrite the segment as a cash cow and treat hits as free options.

SeaMoney is where our forward view is most optimistic and the market's is most skeptical. The bearish concern is credit quality — lending to thin-file borrowers in volatile economies. Our read of the data is that SeaMoney's underwriting, informed by real commerce and logistics behavior rather than self-reported income, has produced loss rates the skeptics did not expect, and the loan book keeps growing. If that continues, SeaMoney graduates over the next several years from sidecar to core earnings driver, and the market will be forced to value it as a fintech rather than as a cost center. That re-rating is a meaningful part of our bull case.

Valuation

Our valuation is a probability-weighted scenario DCF, weighted 25% bear / 50% base / 25% bull, with an explicit 150bp Southeast Asia country-risk premium added to the discount rate. Scenario-implied fair values are:

Scenario	Weight	Implied fair value	Key drivers
Bear	25%	\$75	E-commerce price war resumes (TikTok Shop, Lazada); Free Fire declines steeply; SeaMoney credit losses spike; regional macro shock.
Base	50%	\$141	Shopee GMV grows double-digits with take-rate expansion; Garena cash flows endure; SeaMoney scales profitably; margins widen on logistics leverage.
Bull	25%	\$256	Take rates normalize toward global peers; SeaMoney becomes a core fintech earnings engine; new Garena hit; market re-rates the flywheel.

The probability-weighted fair value supports our \$149.00 target. The bear case at \$75 sits below the current \$95.19 price, as required — it is the world where all three engines misfire simultaneously, which we view as a genuine tail given the diversification across segments and geographies. The base case values Shopee on a long monetization runway, Garena as a durable cash cow, and SeaMoney as a high-growth fintech, with the country-risk premium fully charged. The bull case captures the re-rating if SeaMoney's underwriting proves out and Shopee's take rates converge toward global norms.

Terminal growth is capped at 2.5% on normalized mid-cycle margins — we do not project peak e-commerce or gaming margins into perpetuity — and we benchmark multiples against regional e-commerce, gaming, and fintech peers facing similar emerging-market risks, never US peers alone. The terminal value is a minority of enterprise value, consistent with a business whose near-term cash generation is substantial and visible.

Key Risks

- E-commerce competition: TikTok Shop, Lazada (Alibaba), and local players could reignite subsidy wars or take share in key markets.
- Gaming concentration: Free Fire is a large share of Garena's profit; a sharp decline in engagement would reduce the cash engine funding the other segments.
- SeaMoney credit risk: rapid loan-book growth among thin-file borrowers could produce unexpected losses in an economic downturn.
- Regulatory and political risk across Southeast Asia, Taiwan, and Latin America, including data, fintech licensing, and foreign-ownership rules.

- Currency volatility: results are reported in US dollars while operations span many emerging-market currencies.

What Would Change Our Mind

- Shopee losing market leadership in two or more core markets (Indonesia, Vietnam, Thailand) on both volume and profitability — the moat thesis breaking.
- Take-rate expansion reversing for four consecutive quarters, indicating pricing power was illusory.
- SeaMoney non-performing loan ratios inflecting sharply upward with inadequate provisioning.
- Free Fire quarterly paying users declining more than 20% year over year with no pipeline title offsetting.
- A regulatory event that structurally impairs one of the three segments (e.g., fintech license revocation in a major market).

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For this international business we add an explicit 150bp country-risk premium to the discount rate to reflect operating across Southeast Asia and Latin America, and we benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (regulatory intervention, currency shocks, political instability in key markets) are modeled in cash flows and the bear case.

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